

FW: Pinnacle Peak Estates Unit III - Insurance Proposal (03/01/2021 Renewal)

Janet L. Bussing, CPM, CCIM, CAAM <janet@cpihoa.com>

Tue 2/16/2021 12:32 PM

To: Janet Bussing <jlbussing@outlook.com>

 1 attachments (1 MB)

Proposal - Pinnacle Peak Estates Unit III.pdf;

Janet L. Bussing, CPM, CCIM, CAAM
Community Manager



Cornerstone Properties, Inc.
P.O. Box 62073
Phoenix, AZ 85082

Office: (602) 433-0331 X117
Fax: (602) 244-9214
E-Mail: janet@cpihoa.com
<http://www.cpihoa.com>

From: Megan Fitzgerald <MeganF@hoa-insurance.com>

Sent: Tuesday, February 16, 2021 12:14 PM

To: Janet L. Bussing, CPM, CCIM, CAAM <janet@cpihoa.com>

Subject: RE: Pinnacle Peak Estates Unit III - Insurance Proposal (03/01/2021 Renewal)

Hi Janet,

Per our conversation, based on the association's financials statement, it is recommended that they hold a crime/fidelity bond policy with a limit of \$75,000 and the proposal indicates this recommendation with the carrier PMA Insurance Group (policy premium of \$150). The association's package carrier, Great American Alliance, automatically includes a \$50,000 crime/fidelity limit. If the board would like to keep the limit at \$50,000 with Great American Alliance, the revised total premium would be \$3,213.96.

For the board's reference, the total premium for the 20-21 term was \$3,135.

Let me know if you have any further questions!

Megan Fitzgerald

Account Manager

LaBarre/Oksnee Insurance

(949) 215-9805

meganf@hoa-insurance.com

www.hoains.com

From: Megan Fitzgerald

Sent: Monday, February 1, 2021 11:11 AM

To: janet@cpihoa.com

Subject: Pinnacle Peak Estates Unit III - Insurance Proposal (03/01/2021 Renewal)

Hello!



2021-2022 Annual Renewal Pinnacle Peak Estates Unit III

Dear Board of Directors and Management,

Attached, you will find the renewal for Pinnacle Peak Estates Unit III, which occurs effective March 1st, 2021.

We have presented the renewal with the following coverage and changes:

POLICY TYPE / COVERAGE	EXPIRING LIMITS	EXPIRING DEDUCTIBLE	LIMIT / DEDUCTIBLE CHANGES FROM EXPIRING
Property	\$25,500 – <i>Guaranteed Replacement Cost</i>	\$1,000	<i>Increase in Property limit due to inflation</i>
General Liability	\$1,000,000 occ. \$2,000,000 agg.	\$0	No changes
Directors & Officers Liability	\$1,000,000	\$1,000	No changes
Fidelity Bond / Crime	\$50,000	\$1,000	<i>Increased Crime limit after Financials review</i> – Presented with PMA Insurance Group

We ask that you review the renewal summary and application *carefully* and advise if you have any questions or concerns regarding the renewal. We are more than happy to help.

Please send the signed renewal summary and requested application before the effective date to ensure that there are no gaps in coverage. **D&O is a claims-made policy, so if the association knows of a circumstance or situation that could potentially lead to a D&O Liability claim, please contact our office immediately with details, as the carrier may need to be put on notice.**

Thank you very much for your continued business.

Megan Fitzgerald
Account Manager



2021-2022 Renewal Coverage Summary

Pinnacle Peak Estates Unit III

03/01/2021 - 03/01/2022

PROPERTY – Homeowners Association / Planned Unit Development – Carrier: Great American Alliance Insurance Company – A.M. Best Rated: A+ (Superior), XIII

Coverage	Details	Limit of Coverage
Property – <i>Guaranteed</i>	Common Areas – Special Form	\$26,010
<i>Replacement Cost</i> – Co-Insurance		
WAIVED		
Deductible(s)	Per Occurrence	\$1,000
Trees / Shrubs	Wind: Included	\$25,000
Property Form Coverage	Accounts Receivables, Valuable Papers, Debris Removal, Pollutant Clean Up & Removal, Fire Department Service Charge, etc.	Included

GENERAL LIABILITY – Carrier: Great American Alliance Insurance Company – A.M. Best Rated: A+ (Superior), XIII

Coverage	Details	Limit
Per occurrence limit		\$1,000,000
Aggregate limit		\$2,000,000
Deductible	Per occurrence / claim	\$0
Damaged to Premises Rented to You	AKA – Fire Legal Liability	\$500,000
Non-Owned & Hired Automobile	Secondary coverage	Included
Medical Payments	No fault coverage – per person	\$5,000
Management Company Included	As required per contract with management & nature of management involvement	Yes



DIRECTORS & OFFICERS LIABILITY – Carrier: Continental Casualty Company – A.M. Best Rated: A (Excellent), XV

Coverage is “Claims-Made”, so if you have any knowledge of a circumstance or situation that could give rise to a claim, contact LaBarre/Oksnee.

Coverage	Details	Limit
Per occurrence Limit		\$1,000,000
Retention		\$1,000
Defense Costs	In addition to limit	Provided
Management Company Included	As required per contract with management & nature of management involvement	Yes
D&O Coverage Form	Full Prior Acts, Employment Practices Liability, Non-Monetary losses, Claims-Made, etc.	Included

FIDELITY BOND / CRIME – Carrier: PMA Insurance Group - A.M. Best Rated: A (Excellent), IX

Coverage	Details	Limit
Bond / Crime / Employee Dishonesty Limit	3 x monthly assessments plus reserves or per CC&Rs, if higher	\$75,000
Deductible		\$1,000
Management Company Included	As required per contract with management & nature of management involvement	Yes



2021-2022 Renewal Premium Summary
Pinnacle Peak Estates Unit III
03/01/2021 - 03/01/2022

Coverage	Premium
Package (Property and General Liability)	\$1,709.96
Directors & Officers Liability	\$1,504.00
Fidelity Bond / Crime / Employee Dishonesty	\$150.00
TOTAL ANNUAL PREMIUM (including fees & taxes)	\$3,363.96

Binding Conditions: **Signed Proposal, Signed Crime Application**

Signature: _____ Date: _____
I (the undersigned) have reviewed the proposal thoroughly, including the deductibles, retentions, and limits of insurance. By signing this renewal summary, I approve and accept the coverage and deductibles as presented on this proposal. Minimum earned premium and short-rate penalties may apply in the event of early cancellation. All fees are fully earned. Directors & Officers Liability premium and/or deductible may be subject to change if a new claim is filed prior to the effective date or if insured has knowledge or information of any act, error, omission, fact, or circumstance which may give rise to a Claim. See policies for specific coverage definitions, endorsements, and exclusions



Insurance Coverage Snapshot

Your Conditions, Covenants, and Restrictions (CC&Rs) require your HOA to purchase relevant insurance coverage. Below, we have provided brief explanations of the types of coverage outlined in the preceding pages of your insurance summary. Please see your policies for specific coverage definitions, endorsements, and exclusions.

- **Property** coverage includes 100% Replacement Cost (per your CC&Rs) which means that there is no penalty for depreciation. The policy is a Special Form policy. Specified causes of loss include Fire, Sudden & Accidental Water Damage, Aircraft, Vandalism, Explosion, Volcanic Eruption, Wind/Hail, etc. Items damaged by wear and tear and pest / vermin, maintenance obligations, and subsidence are common exclusions. Property coverage usually includes Building Ordinance or Law (costs to get buildings up to current codes), Sewer or Drain Back Up sub or full limits, and other relevant coverage types. Your insuring agreement (common area only, bare walls, single entity, and Walls-In) are usually defined within your CC&Rs Insurance Section.
- **General Liability** coverage includes protection for third party bodily injury, personal injury and property damage allegedly caused by your business operations. Your policy helps cover costs for claims against you, including those for property damage, medical payments, courts costs, possible judgements, and settlements for covered claims, etc.
- **Directors & Officers Liability** is intended to cover the Board/Directors & Officers for claims made against them (or board as a whole) while serving on a board of directors and/or as an officer. **Coverage is claims-made, so if you have knowledge of any issues, it is vital that you put your carrier on notice immediately.**
- **Fidelity Bond** is sometimes referred to as Employee Dishonesty or Crime and protects the association's financials assets from "employee" theft. Employees include non-compensated officers, management company employees, etc.
- **Umbrella Liability** is additional liability which EXTENDS over your General Liability and Directors & Officers Liability to increase the per occurrence and aggregate limits. Umbrella may also extend over Employer's Liability and Commercial Automobile and follows the forms of underlying policies.
- **Workers' Compensation (minimum premium, if-any)** liability includes coverage for "employees" of the association for bodily injury, accident, etc. Coverage includes appointed & elected board & committee members for light duties. Coverage is not intended for uninsured vendors that the HOA knowingly hires. The HOA should obtain proof of insurance from all vendors.



COMMERCIAL CRIME APPLICATION

Effective Date: 03/01/2021 Expiration Date: 03/01/2022 Quote Number: CA00409-138663

Named Insured: Pinnacle Peak Estates Unit III HOA

Mailing Address: Cornerstone Properties, Inc
P.O. Box 62073
Phoenix, AZ, 85082
Email: janet@cpiho.com

Contact: Janet Bussing Phone: (602) 433-0331

Contact Title: Manager Organization Type: Association

Producer Name: LaBarre/Oksnee Insurance
Address: 30 Enterprise, Ste 180
Aliso Viejo, CA, 92656
Phone: (949) 588-0711

Nature of Business/Description of Operations: Community Association

Business Type: Unspecified
Billing Plan: Direct Bill

Federal ID# 86-0580001
Location Address: 8237 Whispering Wind Scottsdale, AZ, 85255
Prior Carrier: Distinguished

Insuring Agreements

	Limits of Insurance Per Occurrence	Deductible Amount Per Occurrence
Employee Theft(Only)	\$ 75,000	\$ 1,000



Check all applicable boxes.

REQUIRED INFORMATION

☐ Yes ☒ No 1. Any known or suspected losses in the past 3 year?

☒ Yes ☐ No 2. Is the applicant contracted with an outside management company?
a. Name of Management Company: Cornerstone Properties, Inc

☒ Yes ☐ No 3. Funds handled on behalf of the association.
a. Maximum dollar authority: \$2,500

4. Collects the association fees: Management Company

☒ Yes ☐ No 5. Does the management company carry a crime policy that includes 3rd party coverage?

6. Money held in all reserve accounts: \$32,105

7. Average money held in operating accounts: \$6,302

☒ Yes ☐ No 8. Countersignature required on all checks.

9. Bank accounts reconciled on a Monthly basis.

☒ Yes ☐ No 10. Bank accounts reconciled by someone not authorized to deposit/withdraw.

☒ Yes ☐ No 11. Supply of unused checks secured.

☒ Yes ☐ No 12. Bank PINS secured.

☒ Yes ☐ No 13. Annual financial review performed.

☐ Yes ☒ No 14. Any discrepancies in the past three years.

Claim Contact

Name: Janet Bussing | Title: Manager | Phone: (602) 433-0331



CONDITIONS TO BINDING

1. Completed, signed, and dated application (Board Member or Property Manager)
2. Currently valued three year hard copy loss runs (if prior coverage)
3. Signed and dated no known loss letter

ANY PERSON WHO KNOWINGLY AND WITH INTENT TO DEFRAUD ANY INSURANCE COMPANY OR ANOTHER PERSON FILES AN APPLICATION FOR INSURANCE OR STATEMENT OF CLAIM CONTAINING ANY MATERIALLY FALSE INFORMATION, OR CONCEALS FOR THE PURPOSE OF MISLEADING INFORMATION CONCERNING ANY FACT MATERIAL THERETO, COMMITS A FRAUDULENT INSURANCE ACT, WHICH IS A CRIME AND SUBJECTS THE PERSON TO CRIMINAL AND [NY: SUBSTANTIAL] CIVIL PENALTIES. (Not applicable in CO, FL, HI, MA, NE, OH, OK, OR, or VT; in DC, LA, ME, TN, VA and WA, insurance benefits may also be denied). IN FLORIDA, ANY PERSON WHO KNOWINGLY AND WITH INTENT TO INJURE, DEFRAUD, OR DECEIVE ANY INSURER FILES A STATEMENT OF CLAIM OR AN APPLICATION CONTAINING ANY FALSE, INCOMPLETE, OR MISLEADING INFORMATION IS GUILTY OF A FELONY OF THE THIRD DEGREE.

X

PRODUCER'S SIGNATURE

Date

INSURED'S SIGNATURE

Date

**PINNACLE PEAK ESTATES III
RENEWAL INSURANCE SUMMARY
FOR THE PERIODS 2019 to 2021**

	2019		2020		2021*	
Insurance Carrier	Great American		SAME		SAME	
	Alliance Ins. Co.		COMPANY	Inc/Dec 20 vs '19	COMPANY	Inc/Dec 21 vs '20
Coverages:						
Property	\$ 25,000		\$ 25,000		\$ 26,010	
Property Limit	\$ 25,000		\$ 25,000		\$ 25,000	
(for Trees & Shrubs)						
Property Deductible	\$ 1,000		\$ 1,000		SAME	
General Liability	\$1.0 MM/Occ		SAME		SAME	
	\$2.0 MM Aggr		SAME		SAME	
Hired/Non-Owned			SAME		SAME	
Auto Coverage			SAME		SAME	
					\$ 1,709.96	
New Insurance Carrier:						
Fidelity Bond	\$ 50,000		\$ 50,000		PMA INS GP	
Fidelity Bond Deductible	\$ 1,000		\$ 1,000		\$ 75,000	
					\$ 1,000	
					\$ 150.00	
PREMIUM	\$ 1,578.00		\$ 1,642.00	4.06%	\$ 1,859.96	13.3%
Directors & Officers (D&O)						
Insurance Carrier	Continental		SAME		SAME	
	Casualty Company		COMPANY		COMPANY	
Limits of Liability	\$ 1,000,000		SAME		SAME	
Deductible	\$ 1,000		SAME		SAME	
PREMIUM	\$ 1,421.00		\$ 224.53	-84.20%	1,504.00	569.8%
ANNUAL PREMIUM	\$2,999.00		\$1,866.53	-37.76%	\$ 3,363.96	80.2%
Insurance Renewal Increase/Decrease YOY from 2019 to 2021						12.17%
(*) Note: These insurance policies renew as of March 1st each year. This was started 3/1/2020.						

PINNACLE PEAK ESTATES III HOMEOWNERS ASSOCIATION

MINUTES OF THE 2020 ANNUAL MEETING

(VIA TELECONFERENCE)

DECEMBER 9, 2020

1. This meeting was called to order at 6:30 PM by Mr. Roger Marach, PPE III HOA President. In attendance were PPE III Board Directors Dr. David Leicken (Vice President), Mr. Randy Wagner (Treasurer) and Mr. Allen Schodde via teleconference (Secretary). Mr. Matthew Kearns did not attend this meeting. There were also four HOA members on the teleconference. Ms. Janet Bussing, Cornerstone Properties, Inc.'s Community Manager was not in attendance due to illness.
2. Dr. Leicken validated a quorum of the Board Directors was present.
3. Mr. Schodde reviewed the minutes from the last Board meeting held September 23, 2020 via teleconference. The Board approved these minutes.
4. Mr. Randy Wagner then reviewed the PPE III HOA YTD financial results through November 2020. The Board approved and accepted the Treasurer's report.
5. Treasurer Wagner then reviewed the 2021 PPE III HOA budget. No major changes or events from the 2020 budget are forecasted other than a full year of landscaping expenses. The Board briefly discussed this 2021 budget and since there were no objections to it, it was moved, seconded and approved as the operating budget for the PPE III HOA for 2021.
6. President Marach along with Treasurer Wagner announced that the Board at an earlier Executive Board meeting had approved maintaining the annual dues for each PPE III property owner of \$125 for 2021.
7. The next order of business was announcing the results November 2020 election of Directors for 2021. Elected to the Board for the new year:
 - Dr. David Leicken
 - Mr. Matthew Kearns
 - Mr. Roger Marach
 - Mr. Randy Wagner CPA, CFA
 - Ms. Toni Eberhardt (Ms. Eberhardt subsequently resigned in January 2021)
8. President Marach then reported the results of the CC&R's survey mailed to all PPE III property owners in early November. Basically 109 responses or 46% were received out of the 235 surveys mailed. At this Board meeting there were no other details on the results since CPI had yet to tally the respondents' survey answers.
9. The meeting was then open to all attendees on the teleconference. Topics covered were mailbox rehab; weak CC&R's, issues surrounding several CC&R violators and how these board meetings will be held in the future assuming the pandemic continues.
10. Once these discussions ceased, this annual HOA Board meeting was adjourned at approximately 7:30 PM.

Respectfully Submitted by:

Roger K. Marach, President

PINNACLE PEAK ESTATES III HOA



LaBarre/Oksnee Insurance

Pinnacle Peak Estates Unit 3 2020-2021 Annual Insurance Renewal

Dear Board of Directors and Management,

LaBarre/Oksnee Insurance is pleased to present the attached 2020-2021 Insurance Summary renewal for Pinnacle Peak Estates Unit 3, which occurs effective January 1st, 2020.

We have presented the renewal with the following coverage and changes:

POLICY TYPE / COVERAGE	EXPIRING LIMITS	EXPIRING DEDUCTIBLES	CHANGES FROM EXPIRING
Property	\$25,000 (Guaranteed Replacement Cost)	\$1,000	Carrier increased property limit due to inflation.
Property Limit for Trees and Shrubs	\$25,000	\$1,000	No Changes
General Liability	\$1,000,000 occ. \$2,000,000 agg.	\$0	No Changes
Directors & Officers Liability	\$1,000,000	\$1,000	No Changes
Fidelity Bond / Crime	\$50,000	\$1,000	No Changes

We ask that you review the renewal summary *carefully* and advise if you have any questions or concerns regarding the renewal. We are more than happy to help.

To renew, please send the signed Insurance Summary and binding conditions to my attention before Monday, December 30th.

We greatly appreciate the business and look forward to servicing the Association's insurance needs.

With Many Thanks,

Georgia Grant
LaBarre/Oksnee Insurance
949-588-0711

GeorgiaG@hoa-insurance.com



LaBarre/Oksnee Insurance

Pinnacle Peak Estates Unit III

2020 - 2021 Renewal Insurance Summary

Renewal Term: 1/1/2020 - 1/1/2021

Package Policy	
Insurance Carrier	Great American Alliance Insurance Company
Property Coverage	\$25,500 (Guaranteed Replacement Cost)
Property limit for trees/shrubs	\$25,000
Property Deductible	\$1,000
General Liability	\$1,000,000 per Occurrence / \$2,000,000 Aggregate
Hired/Non-Owned Auto Coverage	Included
Fidelity Bond	\$50,000
Fidelity Bond Deductible	\$1,000
Premium	\$1,642.00
Directors & Officers (D&O)	
Insurance Carrier	Continental Casualty Company
Limits of Liability	\$1,000,000
Deductible	\$1,000
Premium	\$1,443.00
Total Premium	\$3,085.00

To bind the coverages listed above, please sign and date below and return to
LaBarre/Oksnee Insurance before 12/30/2019:

Signature: _____ Date: _____

I have reviewed the proposal thoroughly, including the deductibles, retentions, and limits of insurance. By signing this renewal summary, I approve and accept the coverage and deductibles as presented on this proposal. Minimum earned premium and short-rate penalties may apply in the event of early cancellation. All fees are fully earned. Directors & Officers Liability premium and/or deductible may be subject to change if a new claim is filed prior to the effective date or if insured has knowledge or information of any act, error, omission, fact, or circumstance which may give rise to a Claim.

Please consult policy for Exact Coverage and Exclusions

Provided by

LABARRE/OKSNEE INSURANCE - License #108220

Georgia Grant